Independent Auditors' Report

To the Shareholders of Canada Bread Company, Limited:

We have audited the accompanying consolidated financial statements of Canada Bread Company, Limited, which comprise the consolidated balance sheets as at December 31, 2012 and December 31, 2011, the consolidated statements of earnings, comprehensive income, changes in shareholders' equity and cash flows for the years then ended and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained in our audits is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Canada Bread Company, Limited as at December 31, 2012 and December 31, 2011, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with International Financial Reporting Standards.

KPMG LLP

Chartered Accountants, Licensed Public Accountants
Toronto, Canada

February 25, 2013

Consolidated Balance Sheets

As at December 31, *(In thousands of Canadian dollars)*	**2012**	2011
Assets		
Current assets		
Cash and cash equivalents	**$ 90,415**	$ 59,223
Accounts receivable *(Note 4)*	**49,435**	56,522
Notes receivable *(Note 4)*	**44,063**	45,847
Inventories *(Note 5)*	**62,766**	60,048
Income taxes recoverable	**–**	2,162
Prepaid expenses and other assets	**4,972**	5,218
	$ 251,651	$ 229,020
Property and equipment *(Note 6)*	**410,479**	425,944
Investment property *(Note 7)*	**9,103**	8,415
Other long-term assets	**4,994**	4,456
Deferred tax asset *(Note 17)*	**17,874**	17,917
Goodwill *(Note 9)*	**264,243**	266,013
Intangible assets *(Note 10)*	**11,647**	12,710
Total assets	**$ 969,991**	$ 964,475
Liabilities And Shareholders' Equity		
Current liabilities		
Bank indebtedness *(Note 12)*	**$ –**	$ 3,153
Accounts payable and accruals	**169,431**	185,811
Provisions *(Note 11)*	**9,928**	23,066
Due to Maple Leaf Foods Inc. *(Note 19)*	**4,830**	2,451
Dividends payable	**12,708**	5,083
Income taxes payable	**2,008**	–
Current portion of long-term debt *(Note 12)*	**358**	2,452
	$ 199,263	$ 222,016
Long-term debt *(Note 12)*	**2,921**	1,634
Deferred tax liability *(Note 17)*	**19,998**	21,784
Employee benefits *(Note 8)*	**56,011**	50,434
Provisions *(Note 11)*	**6,277**	5,005
Total liabilities	**$ 284,470**	$ 300,873
Shareholders' equity		
Share capital *(Note 13)*	**$ 142,965**	$ 142,965
Retained earnings	**555,322**	530,852
Accumulated other comprehensive loss *(Note 13)*	**(12,766)**	(10,215)
Total shareholders' equity	**$ 685,521**	$ 663,602
Total liabilities and shareholders' equity	**$ 969,991**	$ 964,475

Contingencies and commitments *(Note 18)*

See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board:



RICHARD A. LAN
DIRECTOR



JOHN F. PETCH
DIRECTOR

Consolidated Statements of Earnings

Years ended December 31, *(In thousands of Canadian dollars, except share amounts)*	**2012**	2011
Sales	**$ 1,567,300**	$ 1,595,456
Cost of goods sold	**1,255,760**	1,284,432
Gross margin	**$ 311,540**	$ 311,024
Selling, general and administrative expenses	**195,672**	201,233
Earnings before the following:	**$ 115,868**	$ 109,791
Restructuring and other related costs *(Note 11)*	**(11,073)**	(46,357)
Other income (expense) *(Note 15)*	**1,635**	414
Earnings before interest and income taxes	**$ 106,430**	$ 63,848
Interest expense *(Note 16)*	**1,547**	1,052
Earnings before income taxes	**$ 104,883**	$ 62,796
Income taxes *(Note 17)*	**30,683**	10,845
Net earnings	**$ 74,200**	$ 51,951
Earnings per share attributable to common shareholders		
Basic and diluted earnings per share	**$ 2.92**	$ 2.04
Weighted average number of shares (millions)	**25.4**	25.4

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Comprehensive Income

Years ended December 31, *(In thousands of Canadian dollars)*	**2012**	2011
Net earnings	**$ 74,200**	$ 51,951
Other comprehensive income (loss)		
Change in accumulated foreign currency translation adjustment	**(1,980)**	3,307
Change in unrealized gains and losses on cash flow hedges	**(571)**	574
Change in actuarial gains and losses	**(6,532)**	(14,448)
	$ (9,083)	$ (10,567)
Comprehensive income	**$ 65,117**	$ 41,384

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars)	**Share capital**	**Retained earnings**	**Total accumulated other comprehensive loss**	**Total shareholders' equity**
Balance at December 31, 2011	**$ 142,965**	**$ 530,852**	**$ (10,215)**	**$ 663,602**
Net earnings	**–**	**74,200**	**–**	**74,200**
Other comprehensive loss	**–**	**(6,532)**	**(2,551)**	**(9,083)**
Dividends declared ($1.70 per share)	**–**	**(43,198)**	**–**	**(43,198)**
Balance at December 31, 2012	**$ 142,965**	**$ 555,322**	**$ (12,766)**	**$ 685,521**

	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
Balance at December 31, 2010	$ 142,965	$ 510,126	$ (14,096)	$ 638,995
Net earnings	–	51,951	–	51,951
Other comprehensive income (loss)	–	(14,448)	3,881	(10,567)
Dividends declared ($0.66 per share)	–	(16,777)	–	(16,777)
Balance at December 31, 2011	$ 142,965	$ 530,852	$ (10,215)	$ 663,602

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

Years ended December 31, *(In thousands of Canadian dollars)*	**2012**	2011
CASH PROVIDED BY (USED IN):		
Operating activities		
Net earnings	**$ 74,200**	$ 51,951
Add (deduct) items not affecting cash:		
Depreciation and amortization	**49,525**	47,839
Deferred income taxes	**2,080**	(6,295)
Income tax current	**28,603**	17,140
Interest expense	**1,547**	1,052
(Gain) loss on sale of long-lived assets	**(478)**	232
Change in provision for restructuring and other related costs	**(6,772)**	32,232
Decrease in pension liability	**(3,251)**	–
Net income taxes paid	**(24,265)**	(20,203)
Interest paid	**(1,533)**	(750)
Other	**903**	(1,817)
Change in non-cash operating working capital	**(11,452)**	(18,287)
Cash provided by operating activities	**$ 109,107**	$ 103,094
Financing activities		
Dividends paid	**$ (35,573)**	$ (16,777)
Repayment of long-term debt	**(921)**	–
Cash used in financing activities	**$ (36,494)**	$ (16,777)
Investing activities		
Additions to long-term assets	**$ (44,537)**	$ (112,517)
Capitalization of interest expense to long-term assets	**–**	(119)
Proceeds from sale of long-term assets	**6,269**	5,830
Change in intangible assets	**–**	(65)
Cash used in investing activities	**$ (38,268)**	$ (106,871)
Increase (decrease) in cash and cash equivalents	**$ 34,345**	$ (20,554)
Net cash and cash equivalents, beginning of period	**56,070**	76,624
Net cash and cash equivalents, end of period	**$ 90,415**	$ 56,070
Net cash and cash equivalents is comprised of:		
Cash and cash equivalents	**$ 90,415**	$ 59,223
Bank indebtedness	**–**	(3,153)
Net cash and cash equivalents, end of period	**$ 90,415**	$ 56,070

See accompanying Notes to the Consolidated Financial Statements

Notes to the consolidated financial statements

(Tabular amounts in thousands of Canadian dollars, unless otherwise indicated)
Years ended December 31, 2012 and 2011

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7 Canada. The consolidated financial statements of the Company as at and for the year ended December 31, 2012 include the accounts of the Company and its subsidiaries. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. BASIS OF PREPARATION

(a) Statement of Compliance

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS") as issued by the International Accounting Standards Board ("IASB") and using the accounting policies described herein.

The consolidated financial statements were authorised for issue by the Board of Directors on February 25, 2013.

(b) Basis of Measurement

The consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments and defined benefit plan assets and liabilities that are stated at fair value.

(c) Functional and Presentation Currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

(d) Use of Estimates and Judgments

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Judgments included in the financial statements are decisions made by Management, based on an analysis of relevant information available at the time the decision is made. Judgments relate to application of accounting policies, and decisions related to the measurement, recognition and disclosure of financial amounts.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included both below and in the statement notes relating to items subject to significant estimate uncertainty.

Long-lived Assets Valuation

The Company performs impairment testing on its long-lived assets annually for goodwill and intangible assets, and when circumstances indicate that there may be impairment, for other long-lived assets. Management judgment is involved in determining if there are circumstances indicating that testing for impairment is required, and in determining the grouping of assets to identify their Cash Generating Units ("CGU") for the purpose of impairment testing.

The Company assesses impairment by comparing the recoverable amount of a long-lived asset, CGU or CGU group to its carrying value. The recoverable amount is defined as the higher of (i) value in use, or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management judgment and estimation.

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

Provisions for Inventory

Management makes estimates of the future customer demand for products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code, or "best before" dates are very important in the determination of realizable value, and inventory values are significant. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, inventory, net earnings, and comprehensive income (loss) will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, accrued liabilities, net earnings, and comprehensive income (loss) will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected health care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan assets and liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. To the extent that these estimates differ from those realized employee benefit liabilities and comprehensive income (loss) will be affected.

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgment is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements. Changes to these estimates may affect the value of provisions, earnings and other comprehensive income (loss).

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect the carrying value of these assets, net earnings, and comprehensive income (loss).

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements.

(a) Principles of Consolidation

These consolidated financial statements include the accounts of the Company and its subsidiaries from the date that control commences until the date that control ceases. Control exists when the Company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

All intercompany accounts and transactions have been eliminated on consolidation.

(b) Translation of Foreign Currencies

The accounts of the Company are presented in Canadian dollars. Transactions in foreign currencies are translated at the actual rates of exchange. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the Canadian dollar at the exchange rate at that date. Foreign exchange differences arising on translation are recognized in net earnings except for financial assets and liabilities designated as hedges of the net investment in foreign operations or qualifying cash flow hedges, which are recognized in other comprehensive income. Non-monetary assets and liabilities that are measured at historical cost are translated using the exchange rate at the date of the transaction.

The financial statements of foreign subsidiaries whose functional currency is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the period-end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Foreign exchange differences arising on translation are recognized in accumulated other comprehensive income in shareholders' equity.

When a foreign operation is disposed of, the relevant amount in the cumulative foreign currency translation differences is transferred to profit or loss as part of the gain or loss on disposal. On the partial disposal of a subsidiary that includes a foreign operation, the relevant portion of the cumulative foreign currency translation differences is re-attributed to non-controlling interest. In any other partial disposal of a foreign operation, the relevant portion is reclassified to profit or loss.

Foreign exchange gains and losses arising from a receivable or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which in substance is considered to form part of the net investment in the foreign operations, are recognized in other comprehensive income in the cumulate foreign currency translation differences.

(c) Financial Instruments

The Company's financial assets and financial liabilities upon initial recognition are measured at fair value and are classified as held for trading, loans and receivables or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held for trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held for trading financial instruments that are outside of an effective designated hedging relationship are measured at fair value with changes in fair value recognized in consolidated statements of earnings in the period in which such changes arise. Loans and receivables and other financial liabilities are initially recorded at fair value and are subsequently measured at amortized cost.

Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance and transparency of the inputs used in making the fair value measurements. Each level is based on the following:

Level 1 – inputs are unadjusted quoted prices of identical instruments in active markets.

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the instruments.

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value.

Financial assets are assessed at each reporting date to determine whether there is any objective evidence of impairment. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset, with impairment losses recognized in the consolidated statements of earnings. If in a subsequent period, the impairment loss decreases, the previously recognized impairment is reversed to the extent of the impairment.

Transaction costs, other than those related to financial instruments classified as fair value through profit or loss, which are expensed as incurred, are capitalized to the carrying amount of the instrument and amortized using the effective interest method.

(d) Hedge Accounting

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, its risk management objective and its strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

In a cash flow hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, in other comprehensive income until the hedged item affects net earnings.

In a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statements of earnings by the change in fair value of the hedged item relating to the hedged risk.

In a net investment hedge, the change in fair value of the hedging instrument is recorded, to the extent effective, directly in other comprehensive income. These amounts are recognized in earnings when the corresponding accumulated other comprehensive income (loss) from self-sustaining foreign operations are recognized in earnings.

Hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statements of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or other comprehensive income is recognized in net earnings as the hedged item affects net earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value through net earnings without any offset from the hedged item.

Derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheets, and subsequent changes in their fair value are recorded in the consolidated statements of earnings.

(e) Cash and Cash Equivalents

Cash and cash equivalents comprise cash balances, demand deposits and investments with an original maturity at the date of purchase of three months or less.

(f) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. The cost of inventory includes direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation. When circumstances that previously caused inventories to be written down below cost no longer exist or when there is clear evidence of an increase in the net realizable value, the amount of a write-down previously recorded is reversed through cost of goods sold.

(g) Impairment or Disposal of Long-lived Assets

The Company reviews long-lived assets or asset groups held and used including property and equipment and intangible assets subject to amortization, for recoverability whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Asset groups referred to as CGUs include an allocation of Corporate assets and are reviewed at their lowest level for which identifiable cash inflows are largely independent of cash inflows of other assets or groups of assets. The recoverable amount is the greater of its value in use and its fair value less cost to sell.

Value in use is based on estimates of discounted future cash flows expected to be recovered from a CGU through its use. Management develops its cash flow projections based on past performance and its expectations of future market and business developments. Once calculated, the estimated future pre-tax cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Fair value less cost to sell is the amount obtainable from the sale of an asset or CGU in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal. Costs of disposal are incremental costs directly attributable to the disposal of an asset or CGU, excluding finance costs and income tax expense.

An impairment loss is recognized in the consolidated statements of earnings when the carrying amount of any asset or its CGU exceeds its estimated recoverable amount. Impairment losses recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU and then to reduce the carrying amount of the other assets in the CGU on a pro rata basis.

Impairment losses related to long-lived assets recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation and amortization, if no previous impairment loss had been recognized.

Long-lived assets are classified as held for sale, and are separately presented in the consolidated balance sheets, when certain criteria are met and the sale is expected to be completed within one year. Any liabilities directly associated with such assets are also separately presented in the consolidated balance sheets. These assets and liabilities, or disposal groups, are subsequently measured at the lower of their carrying amount or fair value less costs to sell. Non-current assets classified as held for sale are no longer depreciated. Any further gains or losses not previously recognized at the date the long-lived assets are classified as held for sale, shall be recognized in earnings at the date of sale.

(h) Property and Equipment

Property and equipment with the exception of land are recorded at cost less accumulated depreciation and any net accumulated impairment losses. Land is carried at cost and not depreciated. For qualifying assets, cost includes interest capitalized during the construction or development period. Construction-in-process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation related to assets used in production is recorded in inventory and cost of goods sold, depreciation related to non-production assets is recorded through selling, general and administrative expense, and calculated on a straight-line basis, after taking into account residual values, over the following expected useful lives of the assets:

Buildings, including other components	15-40 years
Machinery and equipment	3-10 years

When parts of an item of property and equipment have different useful lives, those components are accounted for as separate items of property and equipment.

(i) Investment Property

Investment properties are properties owned by the Company that are held to either earn rental income, for capital appreciation, or both. The Company's investment properties include land and buildings.

Investment properties are recorded at cost less accumulated depreciation and any accumulated impairment losses, with the exception of land which is recorded at cost less any accumulated impairment losses. The depreciation policies for investment properties are consistent with those of property and equipment.

(j) Goodwill and Intangible Assets

Goodwill

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to identifiable assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the group of CGUs that are expected to benefit from the synergies of the business combination, but no lower than the level in the Company at which goodwill is monitored for internal management purposes.

Goodwill is not amortized and is tested for impairment annually in October and otherwise as required if events occur that indicate that its carrying amount may not be recoverable. Impairment of goodwill is tested at the CGU group level by comparing the carrying amount to its recoverable amount, consistent with the methodology applied in Note 3(g).

Intangible Assets

Intangible assets include brands, trademarks, delivery routes and customer relationships. Definite life intangible assets are measured at cost less accumulated amortization and any net accumulated impairment losses. Amortization is recognized in the consolidated statements of earnings on a straight-line basis over their estimated useful lives as follows:

Trademarks	10 years
Customer relationships	20-25 years

Indefinite life intangibles are tested for impairment annually in October and otherwise as required if events occur that indicate that the carrying value may not be recoverable.

Upon recognition of an intangible asset the Company determines if the asset has a definite or indefinite life. In making this determination the Company considers the expected use, expiry of agreements, the nature of the asset, and whether the value of the asset decreases over time.

(k) Employee Benefit Plans

The Company provides post-employment benefits through defined benefit and defined contribution plans.

Defined Benefit Plans

The Company accrues obligations and costs in respect of employee defined benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates, and expected health care costs. Changes in these assumptions could affect future pension expense. The fair value of plan assets is used as the basis for calculating the expected return on plan assets. The discount rate used to value the defined benefit obligation is based on high quality corporate bonds in the same currency in which the benefits are expected to be paid and with terms to maturity that, on average, match the terms of the defined benefit obligations. Past service costs arising from plan amendments are amortized on a straight-line basis over the expected remaining vesting period. To the extent that the benefits vest immediately, the expense is recognized in net earnings.

Actuarial gains and losses due to changes in defined benefit plan assets and obligations are recognized immediately in accumulated other comprehensive income (loss). When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

When the calculation results in a net benefit (asset), the recognized asset is limited to the total of any unrecognized past service costs and the present value of economic benefits available in the form of future refunds from the plan or reductions in future contributions to the plan (the "asset ceiling"). In order to calculate the present value of economic benefits, consideration is given to minimum funding requirements that apply to the plan. Where it is anticipated that the Company will not be able to recover the value of the net defined benefit asset, after considering minimum funding requirements for future services, the net defined benefit asset is reduced to the amount of the asset ceiling. The impact of the asset ceiling is recognized in comprehensive income (loss).

When the future payment of minimum funding requirements related to past service would result in a net defined benefit asset (surplus) or an increase in a surplus, the minimum funding requirements are recognized as a liability to the extent that the surplus would not be fully available as a refund or a reduction in future contributions. Re-measurement of this liability is recognized in other comprehensive income (loss) in the period in which the re-measurement occurs.

Defined Contribution Plans

The Company's obligations for contributions to employee defined contribution pension plans are recognized in the consolidated statement of earnings in the periods during which services are rendered by employees.

Multi-employer Plan

The Company participates in a multi-employer pension plan which is accounted for as a defined contribution plan. The Company does not administer this plan, but rather the administration and investment of these assets are controlled by a board of trustees consisting of union and employer representatives. The Company's responsibility to make contributions to this plan is established pursuant to its collective agreements. The contributions made by the Company to the multi-employer plan are expensed when due.

(l) Provisions

Provisions are liabilities of the Company for which the amount and/or timing of settlement is uncertain. A provision is recognized in the consolidated financial statements when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, when appropriate, the risks specific to the liability.

(m) Revenue Recognition

The majority of the Company's revenue is derived from the sale of product to retail and foodservice customers. The Company recognizes revenue from product sales at the fair value of the consideration received or receivable, net of estimated returns and an estimate of sales incentives provided to customers. Revenue is recognized when the customer takes ownership of the product, title has transferred, all the risks and rewards of ownership have transferred to the customer, recovery of the consideration is probable, the Company has satisfied its performance obligations under the arrangement, and has no ongoing involvement with the sold product. The value of sales incentives provided to customers are estimated using historical trends and are recognized at the time of sale as a reduction of revenue. Sales incentives include rebate and promotional programs provided to the Company's customers. These rebates are based on achievement of specified volume or growth in volume levels and other agreed promotional activities. In subsequent periods, the Company monitors the performance of customers against agreed upon obligations related to sales incentive programs and makes any adjustments to both revenue and sales incentive accruals, as required.

Except for fresh bread, the Company generally does not accept returns of spoiled products from customers. For product that may not be returned, the Company in certain cases provides customers with allowances to cover any damage or spoilage, and such allowances are deducted from sales at the time of revenue recognition. In the case of fresh bread, customer returns are deducted from revenue.

(n) Borrowing Costs

Borrowing costs primarily comprise of interest on the Company's indebtedness. Borrowing costs are capitalized when they are attributable to the acquisition, construction or production of a qualifying asset. The Company defines qualifying assets as any asset that requires in excess of six months to prepare for its intended use. Borrowing costs are calculated using the Company's average borrowing cost excluding the costs associated with the de-recognition of accounts receivable under the securitization program. Borrowing costs that are not attributable to a qualifying asset are expensed in the period in which they are incurred and reported within interest expense in the consolidated statements of earnings.

(o) Income Taxes

Income tax expense comprises current and deferred tax. Income tax is recognized in the consolidated statement of earnings except to the extent that it relates to a business combination, or items recognized directly in equity or in other comprehensive income.

Current tax expense represents the amount of income taxes payable in respect of the taxable profit for the period, based on tax law that is enacted or substantially enacted at the reporting date, and is adjusted for changes in estimates of tax expense recognized in prior periods. A current tax liability (or asset) is recognized for income tax payable (or paid but recoverable) in respect of all periods to date.

The Company uses the asset and liability method of accounting for income taxes. Accordingly, deferred tax assets and liabilities are recognized for the deferred tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Deferred tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on deferred tax assets and liabilities of a change in tax rates is recognized in earnings and comprehensive income in the period in which the enactment or substantive enactment takes place. A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable income will be available to utilize such amounts. Deferred tax assets are reviewed at each reporting date and are adjusted to the extent that it is no longer probable the related tax benefits will be realized.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

Deferred tax is provided on temporary differences arising on investments in subsidiaries, except where the timing of the reversal of the temporary difference is controlled by the Company and it is probable that the temporary difference will not reverse in the foreseeable future.

(p) Accounting Standards Adopted During the Period

During the year ended December 31, 2012, the Company adopted certain amendments to IFRS 7 Financial Instruments: Disclosures. These amendments require disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. The adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company for the year ended December 31, 2012.

(q) Recent Accounting Pronouncements Not Yet Adopted

Financial Instruments – Recognition and Measurement

In October 2010, the IASB published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to International Accounting Standard ("IAS") 32 *Financial Instruments: Presentation* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. The effective date for the amendments to IFRS 7 is annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to off-set as well as clarify, when a settlement mechanism provides for net settlement, or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The Company will include the additional disclosures required by the amendments to IFRS 7 in its 2013 financial statements. The extent of the impact of adoption of the amendments to IAS 32 has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements*, that addresses consolidation, and supersedes SIC-12 *Consolidation – Special Purpose Entities ("SPE"),* in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31, *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures*, has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adoption of IFRS 10, IFRS 11, amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12 and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The impact of the adoption of IFRS 10, IFRS 11 and IFRS 12 and the amendments to IAS 27 and IAS 28 is not expected to be material to the financial statements.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The Company will provide required additional disclosures on fair valued items beginning with its first quarter 2013 financial statements.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. These amendments require that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt these amendments in its financial statements for the annual period beginning on January 1, 2013. The Company will change the presentation of its consolidated statement of other comprehensive income starting in the first quarter of 2013.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 Employee Benefits. Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment requires the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendment also requires other changes and additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013.

If the Company had adopted the portion of the new standard relating to the calculation of expected return on plan assets being based on the rate used to discount the defined benefit obligation, and administrative fees being expensed as incurred in 2012, the impact would have been an increase in pre-tax pension expense of $3.6 million ($2.7 million after-tax) for the 2012 fiscal year. This would be offset through other comprehensive income (loss). Management is still in the process of assessing the full impact of the remaining amendments to this standard.

4. ACCOUNTS RECEIVABLE AND NOTES RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and retains a very limited recourse obligation for delinquent receivables. At December 31, 2012, trade accounts receivable being serviced under this program amounted to $95.3 million (December 31, 2011: $91.1 million). In return for the sale of its trade receivables, the Company received cash of $51.2 million (December 31, 2011: $45.3 million) and a note receivable in the amount of $44.1 million (December 31, 2011: $45.8 million). The note receivable is non-interest bearing and is due on the settlement dates of the securitized accounts receivable.

The Company operates a trade accounts receivable securitization program that requires the sale of trade accounts receivable to be treated as a sale from an accounting perspective and as a result, trade accounts receivable balances sold under this program are derecognized in the consolidated balance sheets as at December 31, 2012 and December 31, 2011. The agreement expires in October 2013.

Components of accounts receivable are as follows:

	2012	2011
Trade receivables	**$ 34,607**	$ 40,032
Less: Allowance for doubtful accounts	**–**	(1,914)
Net trade receivables	**34,607**	38,118
Other receivables	**14,828**	18,404
	$ 49,435	$ 56,522

The aging of trade receivables is as follows:

	As at December 31, 2012	As at December 31, 2011
Current	**$ 33,939**	$ 37,790
Past due 0-30 days	**161**	1,338
Past due 31-60 days	**–**	287
Past due 61-90 days	**205**	371
Past due > 90 days	**302**	246
	$ 34,607	$ 40,032

The Company maintains an allowance for doubtful accounts that represents its estimate of the risk of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individual exposures.

5. INVENTORIES

	As at December 31, 2012	As at December 31, 2011
Raw materials	**$ 14,506**	$ 14,347
Work in process	**69**	34
Finished goods	**20,403**	19,692
Packaging	**9,074**	9,160
Spare parts	**18,714**	16,815
	$ 62,766	$ 60,048

During the year, inventory in the amount of $894.7 million (2011: $896.0 million) was expensed through cost of goods sold. There were no reversals of previous write-downs recognized.

6. PROPERTY AND EQUIPMENT

Cost	Land	Buildings	Machinery and equipment	Under construction	Total
Balance at December 31, 2011	**$ 22,176**	**$ 195,225**	**$ 510,154**	**$ 99,782**	**$ 827,337**
Additions	**2,429**	**19,656**	**73,181**	**(53,219)**	**42,047**
Disposals, write-downs and restructuring charges	**(1,038)**	**(3,771)**	**(24,261)**	**–**	**(29,070)**
Other	**(1,358)**	**(13,158)**	**14,450**	**2,951**	**2,885**
Transfers to investment properties	**(100)**	**(2,080)**	**–**	**–**	**(2,180)**
Transfers	**–**	**581**	**6,465**	**(7,046)**	**–**
Foreign currency translation	**(15)**	**(377)**	**(1,805)**	**38**	**(2,159)**
Balance at December 31, 2012	**$ 22,094**	**$ 196,076**	**$ 578,184**	**$ 42,506**	**$838,860**
Depreciation and impairment losses					
Balance at December 31, 2011	**$ –**	**$ 58,344**	**$343,049**	**$ –**	**$ 401,393**
Additions	**–**	**5,724**	**42,375**	**–**	**48,099**
Disposals, write-downs and restructuring charges	**–**	**(2,725)**	**(19,089)**	**–**	**(21,814)**
Other	**–**	**(1,255)**	**4,665**	**–**	**3,410**
Transfers to investment properties	**–**	**(966)**	**–**	**–**	**(966)**
Foreign currency translation	**–**	**(179)**	**(1,562)**	**–**	**(1,741)**
Balance at December 31, 2012	**$ –**	**$ 58,943**	**$ 369,438**	**$ –**	**$ 428,381**
Net balance, December 31, 2012	**$ 22,094**	**$ 137,133**	**$ 208,746**	**$ 42,506**	**$ 410,479**

Cost	Land	Buildings	Machinery and equipment	Under construction	Total
Balance at December 31, 2010	$ 23,599	$ 175,467	$ 533,588	$ 61,423	$ 794,077
Additions	–	40,678	33,313	38,525	112,516
Disposals, write-downs and restructuring charges	(41)	(9,992)	(56,070)	–	(66,103)
Other	(83)	(96)	307	–	128
Transfers to investment properties	(1,315)	(10,479)	–	–	(11,794)
Interest capitalized	8	37	74	–	119
Foreign currency translation	8	(390)	(1,058)	(166)	(1,606)
Balance at December 31, 2011	$ 22,176	$ 195,225	$ 510,154	$ 99,782	$ 827,337
Depreciation and impairment losses					
Balance at December 31, 2010	$ –	$ 61,989	$ 344,485	$ –	$ 406,474
Additions	–	6,354	40,360	–	46,714
Disposals, write-downs and restructuring charges	–	(2,577)	(39,126)	–	(41,703)
Other	–	(202)	(1,256)	–	(1,458)
Transfers to investment properties	–	(7,067)	–	–	(7,067)
Foreign currency translation	–	(153)	(1,414)	–	(1,567)
Balance at December 31, 2011	$ –	$ 58,344	$ 343,049	$ –	$ 401,393
Net balance, December 31, 2011	$ 22,176	$ 136,881	$ 167,105	$ 99,782	$ 425,944

Impairment or property and equipment

During the year the Company recorded $0.4 million (2011: $14.4 million) of impairment through restructuring and other related costs. No reversals of impairments were recognized during the year.

7. INVESTMENT PROPERTY

Investment property is comprised of surplus land and buildings primarily resulting from restructuring activities. The fair value of the Company's investment properties was $17.3 million at December 31, 2012 (2011: $11.2 million). During 2011 the Company obtained external appraisals for $11.2 million of this amount. For the other investment properties, the Company determined the value based on comparable market information.

During the year, the Company did not generate rental revenue (2011: $nil) from investment properties. Operating costs of $1.5 million (2011: $0.5 million), were recorded through other income. Any impairment losses or reversals of impairment losses on investment property would be recorded through other income.

The continuity of investment property for the years ended December 31, 2012 and 2011 is as follows:

Cost	**Land**	**Buildings**	**Total**
Balance at December 31, 2011	**$ 3,580**	**$ 11,902**	**$ 15,482**
Transfers from property and equipment	**100**	**2,080**	**2,180**
Disposals	**–**	**(877)**	**(877)**
Foreign currency translation	**(9)**	**(69)**	**(78)**
Balance at December 31, 2012	**$ 3,671**	**$ 13,036**	**$ 16,707**
Accumulated depreciation			
Balance at December 31, 2011	**$ –**	**$ 7,067**	**$ 7,067**
Transfers from property and equipment	**–**	**966**	**966**
Disposals	**–**	**(679)**	**(679)**
Depreciation	**–**	**252**	**252**
Foreign currency translation	**–**	**(2)**	**(2)**
Balance at December 31, 2012	**$ –**	**$ 7,604**	**$ 7,604**
Net balance, December 31, 2012	**$ 3,671**	**$ 5,432**	**$ 9,103**

Cost	Land	Buildings	Total
Balance at December 31, 2010	$ 2,300	$ 1,443	$ 3,743
Transfers from property and equipment	1,315	10,479	11,794
Foreign currency translation	(35)	(20)	(55)
Balance at December 31, 2011	$ 3,580	$ 11,902	$ 15,482
Accumulated depreciation			
Balance at December 31, 2010	$ –	$ –	$ –
Transfers from property and equipment	–	7,067	7,067
Balance at December 31, 2011	$ –	$ 7,067	$ 7,067
Net balance, December 31, 2011	$ 3,580	$ 4,835	$ 8,415

8. EMPLOYEE BENEFITS

Information about the Company's defined benefit plans as at December 31, in aggregate, is as follows:

	Other post-retirement benefits	**Total pensions**	**2012 Total**	Other post-retirement benefits	Total pension	2011 Total
Accrued benefit obligation:						
Balance, beginning of year	**$ 2,113**	**$ 152,164**	**$ 154,277**	$ 2,009	$ 138,578	$ 140,587
Current service cost	**24**	**4,058**	**4,082**	20	3,527	3,547
Interest cost	**93**	**6,874**	**6,967**	98	6,884	6,982
Benefits paid	**(118)**	**(9,682)**	**(9,800)**	(126)	(8,675)	(8,801)
Actuarial losses	**142**	**10,294**	**10,436**	112	10,984	11,096
Employee contributions	**–**	**764**	**764**	–	866	866
Special termination benefits	**–**	**270**	**270**	–	–	–
Settlements	**–**	**(905)**	**(905)**	–	–	–
Balance, end of year	**$ 2,254**	**$ 163,837**	**$ 166,091**	$ 2,113	$ 152,164	$ 154,277
Unfunded	**$ 2,254**	**$ 5,972**	**$ 8,226**	$ 2,113	$ 6,486	$ 8,599
Funded[(i)]	**–**	**157,865**	**157,865**	–	145,678	145,678
Total obligation	**$ 2,254**	**$ 163,837**	**$ 166,091**	$ 2,113	$ 152,164	$ 154,277

(i) includes wholly and partially funded plans

Plan Assets						
Fair value, beginning of year	**$ –**	**$ 103,843**	**$ 103,843**	$ –	$ 103,942	$ 103,942
Expected return on plan assets	**–**	**7,510**	**7,510**	–	7,927	7,927
Actuarial gains (losses)	**–**	**1,609**	**1,609**	–	(8,383)	(8,383)
Employer contributions	**118**	**7,218**	**7,336**	126	8,166	8,292
Employee contributions	**–**	**764**	**764**	–	866	866
Benefits paid	**(118)**	**(9,682)**	**(9,800)**	(126)	(8,675)	(8,801)
Settlements	**–**	**(1,182)**	**(1,182)**	–	–	–
Fair value, end of year	**$ –**	**$ 110,080**	**$ 110,080**	$ –	$ 103,843	$ 103,843
Accrued benefit liability, end of year	**$ (2,254)**	**$ (53,757)**	**$ (56,011)**	$ (2,113)	$ (48,321)	$ (50,434)

Pension benefit expense recognized in net income:

	2012	2011
Current service cost – defined benefit	**$ 4,058**	$ 3,527
Current service cost – defined contribution and multi- employer plan	**8,286**	8,366
Interest cost	**6,874**	6,884
Expected return on plan assets	**(7,510)**	(7,927)
Curtailment gain[(i)]	**–**	–
Special termination benefits[(i)]	**270**	–
Settlement loss	**276**	–
Net benefit plan expense	**$ 12,254**	$ 10,850

(i) Included in Restructuring and other related costs

During the year, the Company expensed salaries of $312.0 million (2011: $321.2 million) and benefits of $52.9 million (2011: $60.1 million), excluding pension and other post-retirement benefits.

Amounts recognized in other comprehensive income (loss) before income taxes:

	2012	2011
Actuarial losses	**$ (8,828)**	$ (19,479)
	$ (8,828)	$ (19,479)

The cumulative amount recorded to date through other comprehensive income (loss) before income-taxes is $40.4 million (2011: $31.5 million). The expected long-term rate of return on plan assets was determined based on the plans investment mix, noted below, the current rate of inflation and historical equity returns. Actual returns on plan assets for the year ended December 31, 2012 was a gain of $9.1 million (2011: loss of $0.5 million).

	2012	2011	2010
Fair value of plan assets	**$ 110,080**	$ 103,843	$ 103,942
Present value of obligation	**166,091**	154,277	140,587
Plan deficit	**$ (56,011)**	$ (50,434)	$ (36,645)
Experience gains (losses) on assets	**1,625**	(8,383)	(1,013)
Experience gains (losses) on obligation	**1,650**	(2,047)	(901)

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and net benefit plan expense are as follows:

	2012	2011
Weighted average discount rate used to calculate the net benefit plan expense	**4.50%**	5.00%
Weighted average discount rate used to calculate year end benefit obligation	**3.75%**	4.50%
Expected long-term rate of return on plan assets	**7.25%**	7.25%
Rate of compensation increase	**3.50%**	3.50%
Medical cost trend rates	**6.00%**	6.50%

Plan assets comprised of:

As at December 31,	**2012**	2011
Equity securities	**60%**	59%
Debt securities	**37%**	38%
Other investments and cash	**3%**	3%
	100%	100%

Other post-retirement benefits expense:

	2012	2011
Current service cost	**$ 24**	$ 20
Interest cost	**93**	98
	$ 117	$ 118

Impact of 1% change in health care cost trend:

	1% Increase	**1% Decrease**
Effect on end-of-year obligation	**$ 76**	**$ (68)**
Aggregate of 2012 current service cost and interest cost	**$ 3**	**$ (3)**

Measurement dates:

2012 expense	December 31, 2011
Balance sheet	December 31, 2012

The Company expects to contribute $13.6 million to the pension plans in 2013, inclusive of defined contribution plans and the multi-employer plans.

Multi-employer Plan

The Company contributes to the Canadian Bakery and Confectionary Union and Industry Canada Pension Fund, which is a multi-employer defined benefit plan for employees who are members of the Canadian Bakery and Confectionary Union. This is a large scale plan for union workers of multiple companies across Canada. Adequate information to account for these contributions as a defined benefit plan in the Company's statements is not available due to the size and number of contributing employers in the plan. Included in the current service cost – defined contribution and multi-

employer plan expense of $8.3 million (2011: $8.4 million) was $3.2 million (2011: $3.2 million) related to payments into this plan. The Company expects to make contributions of $3.6 million into this plan for the 2013 year. This is included in the total contributions amount above.

9. GOODWILL

December 31,	**2012**	2011
Cost		
Opening Balance	**$ 378,743**	$ 375,894
Foreign currency translation	**(105)**	2,849
Balance	**$ 378,638**	$ 378,743
Impairment losses		
Opening Balance	**$ (112,730)**	$ (111,618)
Foreign currency translations	**(1,665)**	(1,112)
Balance	**$ (114,395)**	$ (112,730)
Carrying amounts	**$ 264,243**	$ 266,013

For the purposes of annual impairment testing, goodwill is allocated to the following groups of CGUs, being the groups expected to benefit from the synergies of the business combinations in which the goodwill arose.

As at December 31,	**2012**	2011
CGU Group		
Canadian fresh bakery	**$ 123,867**	$ 123,867
North American frozen bakery	**138,351**	140,121
Fresh pasta	**2,025**	2,025
	$ 264,243	$ 266,013

The key assumptions used in the calculation of the recoverable amount as at October 1, 2012 and 2011, were as follows for the significant CGU groups:

	Discount Rate		**Growth Rate**	
	2012	2011	**2012**	2011
CGU Group				
Canadian fresh bakery	**10.66%**	13.20%	**2.20%**	2.50%
North American frozen bakery	**8.56%**	10.85%	**2.49%**	2.83%
Fresh pasta	**9.11%**	10.62%	**2.20%**	2.50%

Annual impairment testing involves determining the recoverable amount of each CGU group to which goodwill is allocated, and comparing this to the carrying value of the group. The measure of the recoverable amount of all CGU groups was calculated based on fair value less costs to sell. As there was no market information available fair value was determined by discounting the future cash flows generated from the continuing use of the group. The calculation of the fair value was based on the following key assumptions:

- Cash flows were projected based on the Company's long-term business plan. Cash flows for a further perpetual period were extrapolated using the growth rate listed above. These rates do not exceed the long-term average growth rate for the countries that the segments operate in.
- The business plan includes forecasts up to, and including, the year 2015 and is based on past experience of actual operating results in conjuncture with anticipated future growth opportunities. While the forecast does assume some base business expansion, largely related to innovation, the primary engine of growth is strategic in nature and is consistent with the projects and expectations as articulated in the Company's strategic plan.

- Discount rates as shown in the table above were applied in determining the recoverable amount of each CGU group. The discount rate was estimated based on past experience and the weighted average cost of capital of the Company and other competitors in the industry.

The values assigned to the key assumptions represent Management's assessment of future trends in the industries the CGU groups operate in and are based on both external and internal sources and historical trend data.

10. INTANGIBLE ASSETS

	Indefinite life	**Finite life**		
Cost	**Delivery routes**	**Trademarks**	**Customer relationships**	**Total**
Balance at December 31, 2011	**$ 1,350**	**$ 8,221**	**$ 12,948**	**$ 22,519**
Additions	**2,490**	**–**	**–**	**2,490**
Dispositions	**(2,568)**	**–**	**–**	**(2,568)**
Foreign currency translation	**–**	**(5)**	**194**	**189**
Balance at December 31, 2012	**$ 1,272**	**$ 8,216**	**$ 13,142**	**$ 22,630**
Amortization and impairment losses				
Balance at December 31, 2011		**$ 6,777**	**$ 3,032**	**$ 9,809**
Amortization		**691**	**483**	**1,174**
Balance at December 31, 2012		**$ 7,468**	**$ 3,515**	**$ 10,983**
Net balance, December 31, 2012	**$ 1,272**	**$ 748**	**$ 9,627**	**$ 11,647**

	Indefinite life	Finite life		
Cost	Delivery routes	Trademarks	Customer relationships	Total
Balance at December 31, 2010	$ 1,012	$ 7,932	$ 13,366	$ 22,310
Additions	1,284	281	275	1,840
Dispositions	(946)	–	(830)	(1,776)
Foreign currency translation	–	8	137	145
Balance at December 31, 2011	$ 1,350	$ 8,221	$ 12,948	$ 22,519
Amortization and impairment losses				
Balance at December 31, 2010		$ 6,125	$ 2,559	$ 8,684
Amortization		652	473	1,125
Balance at December 31, 2011		$ 6,777	$ 3,032	$ 9,809
Net balance, December 31, 2011	$ 1,350	$ 1,444	$ 9,916	$ 12,710

Amortization

Amortization is recorded through cost of goods sold or selling general and administrative expenses depending on the nature of the asset.

Indefinite Life Intangibles

All indefinite life intangible assets are a part of the Fresh Bakery CGU Group.

The Company performs annual impairment testing on its indefinite life intangible assets. Annual impairment testing, consistent with the impairment testing for goodwill as described in Note 9, involves determining the recoverable amount of each indefinite life intangible asset and comparing it to the carrying value. The recoverable values of the Company's indefinite life intangible assets are determined based on discounted projected cash flows.

11. PROVISIONS

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs[1]	Total
Balance at December 31, 2011	**$ 119**	**$ 1,495**	**$ 3,510**	**$ 22,947**	**$ 28,071**
Charges	**461**	**–**	**174**	**11,950**	**12,585**
Reversals	**–**	**–**	**–**	**(877)**	**(877)**
Cash payment	**(186)**	**–**	**–**	**(17,852)**	**(18,038)**
Non-cash items	**–**	**–**	**74**	**(5,610)**	**(5,536)**
Balance at December 31, 2012	**$ 394**	**$ 1,495**	**$ 3,758**	**$ 10,558**	**$ 16,205**
Current					**$ 9,928**
Non-current					**6,277**
Total					**$ 16,205**

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs[1]	Total
Balance at December 31, 2010	$ –	$ 1,495	$ 4,745	$ 13,068	$ 19,308
Charges	119	–	–	46,357	46,476
Cash payment	–	–	–	(14,125)	(14,125)
Non-cash items	–	–	(1,235)	(22,353)	(23,588)
Balance at December 31, 2011	$ 119	$ 1,495	$ 3,510	$ 22,947	$ 28,071
Current					$ 23,066
Non-current					5,005
Total					$ 28,071

[1] *For additional information on restructuring, see the table below.*

Restructuring and Other Related Costs

During the year ended December 31, 2012, the Company recorded restructuring and other related costs of $11.9 million ($9.4 million after-tax), before the impact of any reversals in the year. After reversals, the Company recorded $11.1 million ($8.6 million).

Of this pre-tax amount, $5.8 million was incurred by the U.K. bakery business related to accelerated depreciation and other costs in connection with the closure of the Walsall and Park Royal plants. A further $5.5 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia. The balance of restructuring costs of $0.6 million was incurred in connection with other on-going restructuring initiatives of the Company.

During the year ended December 31, 2011, the Company recorded restructuring costs of $46.4 million ($35.3 million after-tax). Of this pre-tax amount, $24.2 million was incurred by the U.K. bakery business, related to the closure of the Walsall, Cumbria and Park Royal plants. These costs include severance of $4.0 million, lease cancelation charges of $7.8 million, asset write downs and accelerated depreciation of $11.7 million and other costs of $0.7 million. The Company also incurred $9.3 million in restructuring costs related to the closure of the Laval, Quebec frozen bakery and the Delta, British Columbia fresh bakery and $2.9 million of restructuring costs related to the sale of the sandwich product line. The Company also recorded $7.5 million in restructuring costs for initiatives across the Company related to changes in management structure and related severances. The balance of the restructuring costs of $2.5 million was incurred in connection with other on-going restructuring initiatives of the Company.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at December 31, 2012, all on a pre-tax basis:

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ –**	**$ 22,947**
Charges	**1,605**	**4,155**	**5,324**	**596**	**270**	**11,950**
Reversals	**(331)**	**(379)**	**(14)**	**(153)**	**–**	**(877)**
Cash payments	**(10,464)**	**(6,448)**	**–**	**(940)**	**–**	**(17,852)**
Non-cash items	**–**	**(30)**	**(5,310)**	**–**	**(270)**	**(5,610)**
Other	**781**	**(144)**	**–**	**(637)**	**–**	**–**
Balance at December 31, 2012	**$ 6,566**	**$ 3,930**	**$ –**	**$ 62**	**$ –**	**$ 10,558**

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ –	$ 13,068
Charges	15,299	9,027	21,011	1,020	–	46,357
Cash payments	(11,552)	(2,365)	–	(208)	–	(14,125)
Non-cash items	–	(1,342)	(21,011)	–	–	(22,353)
Balance at December 31, 2011	$ 14,975	$ 6,776	$ –	$ 1,196	$ -	$ 22,947

12. BANK INDEBTEDNESS AND LONG-TERM DEBT

	As at December 31, 2012	As at December 31, 2011
Bank indebtedness[(c)]	**$ –**	$ 3,153
Due to Maple Leaf[(a)]	**$ 1,609**	$ 2,364
Southern Ontario Development Program[(b)]	**1,670**	1,722
	3,279	4,086
Less: Current portion	**358**	2,452
Long term debt	**$ 2,921**	$ 1,634

(a) On June 28, 2012 the Company entered into a new $50.0 million five-year revolving debt facility with Maple Leaf, the Company's controlling shareholder to provide liquidity for general corporate purposes. The new debt facility replaced the Company's $250.0 million revolving debt facility that was due to mature on June 30, 2012. Both facilities bear interest based on bankers' acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar and British pound loans. Both facilities are unsecured and subject to certain financial covenants. At December 31, 2012 the Company was in compliance with all of its financial covenants.

Interest incurred under these facilities with Maple Leaf was $0.2 million in 2012 (2011: $0.3 million).

(b) During 2010, the Company received a government loan of $2.0 million from the Southern Ontario Development Program administered by the Federal Economic Development Agency. The loan is interest free and has monthly repayment requirements from 2012 to 2017. The Company recorded the proceeds of the loan at fair value of $1.6 million calculated using a discounted cash flow analysis and the loan is carried at amortized cost on the balance sheet.

(c) The Company has a demand operating line of credit of £5.0 million ($8.0 million) to provide short-term funding for its U.K. operations. The facility has interest based on LIBOR rates. As at December 31, 2012, nil balance (2011: £2.0 million ($3.2 million)) was outstanding and has been classified as bank indebtedness.

(d) The Company has facilities available on demand of $38.0 million (2011: $28.1 million) which include an overdraft operating facility of £5.0 million ($8.0 million) and two operating facilities, one of USD $10.0 million ($10.0 million) and one of $20.0 million, which bear interest at short-term rates. At December 31, 2012, £2.1 million ($3.3 million) was utilized under these facilities (2011: £4.4 million ($6.9 million)) and this utilization reduced the Company's cash and cash equivalents.

(e) The Company has a demand letter of credit facility of $15.0 million (2011: $10.0 million) of which $11.2 million as at December 31, 2012 (2011: $9.8 million) was utilized.

(f) The Company's weighted average cost of borrowing for 2012 was 3.7% (2011: 3.8%).

Required repayments of long-term debt are as follows:

2013	$ 358
2014	358
2015	358
2016	358
2017	1,847
Total long-term debt	**$ 3,279**

13. CAPITAL AND OTHER COMPONENTS OF EQUITY

Common Shares

At December 31, 2012 there were 25,416,812 shares outstanding, (December 31, 2011: 25,416,812). There were no share transactions during the year.

The authorized share capital consists of an unlimited number of common shares and 25,000 preference shares. These shares have no par value.

The holders of common shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

Accumulated Other Comprehensive Loss

	Foreign currency translation adjustments	**Unrealized gain (loss) on cash flow hedges**	**Change in actuarial gains and losses**	**Total accumulated other comprehensive loss**
Balance at December 31, 2011	**$ (10,743)**	**$ 528**	**$ –**	**$ (10,215)**
Other comprehensive loss	**(1,980)**	**(571)**	**(6,532)**	**(9,083)**
Transfer to Retained earnings	**–**	**–**	**6,532**	**6,532**
Balance at December 31, 2012	**$ (12,723)**	**$ (43)**	**$ –**	**$ (12,766)**

	Foreign currency translation adjustments	Unrealized gain (loss) on cash flow hedges	Change in actuarial gains and losses	Total accumulated other comprehensive loss
Balance at December 31, 2010	$ (14,050)	$ (46)	$ –	$ (14,096)
Other comprehensive (loss) gain	3,307	574	(14,448)	(10,567)
Transferred to Retained earnings	–	–	14,448	14,448
Balance at December 31, 2011	$ (10,743)	$ 528	$ –	$ (10,215)

The change in accumulated foreign currency translation adjustments includes tax of $nil for the year ended December 31, 2012 (2011: $nil).

The change in unrealized gain on cash flow hedges includes tax of $0.2 million for the year ended December 31, 2012 (2011: $0.2 million).

The change in actuarial losses includes tax of $2.3 million for the year ended December 31, 2012 (2011: $5.0 million).

The Company estimates that $nil million of the unrealized gain included in accumulated other comprehensive loss will be reclassified into net earnings within the next twelve months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year ended December 31, 2012, a gain of $0.3 million after-tax was released to earnings from accumulated other comprehensive loss and is included in the net change for the period (2011: loss of $1.1 million net-of-tax).

Dividends

The following dividends were declared by the Company:

	2012	2011
$1.70 per qualifying common share (2011: $0.66)	**$ 43,198**	$ 16,777

14. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

Capital

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt and internal cash flows.

The Company measures its credit profile using a number of metrics, some of which are non-IFRS measures, primarily net debt to earnings before interest, tax, depreciation and amortization ("EBITDA") and EBITDA to interest expense.

The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment grade credit pricing and terms. On June 28, 2012, the Company entered into a new five-year $50.0 million revolving credit facility with Maple Leaf. The new credit facility replaced the Company's $250.0 million revolving credit facility that was due to mature on June 30, 2012. The facility will be used to provide longer –term funding and surplus liquidity. The facility can be drawn in Canadian or U.S. dollars and bears interest payable monthly, based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S dollar loans. This revolving credit facility is unsecured and is subject to certain financial covenants. As at December 31, 2012, the Company was in compliance with all of these covenants.

In addition to senior debt and equity, the Company uses operating leases and very limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

Financial Instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held-for-trading
Accounts receivable	Loans and receivables
Notes receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf Foods	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments[(i)]	Held-for-trading

(i) *These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.*

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. Financial assets and liabilities designated as held-for-trading are recorded at fair value. The carrying value of long-term debt as at December 31, 2012 is $3.3 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures are exchange-traded and fair value was determined based on exchange prices.

The fair values and notional amounts of derivative financial instruments at December 31 are shown below:

	2012			2011		
	Notional amount[i]	Fair value Asset	Fair value Liability	Notional amount[i]	Fair value Asset	Fair value Liability
Cash flow hedges						
Foreign exchange forward contracts	**$ 11,263**	**$ –**	**$ 63**	$ 25,716	$ 716	$ –
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts[ii]	**$ 45,440**	**$ 39**	**$ –**	$ 43,241	$ 82	$ –
Commodity futures contracts	**–**	**–**	**–**	3,777	20	–
Total		**$ 39**	**$ 63**		$ 818	$ –
Current		**$ 39**	**$ 63**		$ 818	$ –
Non-current		**–**	**–**		–	–
Total		**$ 39**	**$ 63**		$ 818	$ –

[i] *Notional amounts are stated at the contractual Canadian dollar equivalent.*

[ii] *This amount relates to related party foreign exchange contracts with Maple Leaf.*

For the years ended December 31, 2012 and 2011, the amount of hedge ineffectiveness recognized in earnings was nominal.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	$ –	$ 39	$ –	**$ 39**
	$ –	**$ 39**	**$ –**	**$ 39**
Liabilities:				
Foreign exchange forward contracts	$ –	$ 63	$ –	**$ 63**
	$ –	**$ 63**	**$ –**	**$ 63**

There were no transfers between levels during the year ended December 31, 2011.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers or other counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectability of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2012 approximately $0.5 million (2011: $0.6 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individually significant exposures. As at December 31, 2012, the Company has recorded an allowance for doubtful accounts of nil (2011: $1.9 million). Average accounts receivable days sales outstanding for the year is consistent with historic trends. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for doubtful accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The

Company's three largest customers comprise approximately 34.7% (2011: 41.0%) of consolidated pre-securitized accounts receivable at December 31, 2012 and the two largest customers comprise approximately 30.4% (2011: 30.8%) of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of A- or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The contractual undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	December 31, 2012				
	Due within 1 year	Due between 1 and 2 years	Due between 2 and 3 years	Due after 3 years	**Total**
Non-derivative financial liabilities					
Accounts payable and accrued charges	$ 169,431	$ –	$ –	$ –	**$ 169,431**
Due to Maple Leaf Foods Inc.	4,830	–	–	–	**4,830**
Dividends payable	12,708	–	–	–	**12,708**
Long-term debt[1]	358	358	358	2,205	**3,279**
Total	**$ 187,327**	**$ 358**	**$ 358**	**$ 2,205**	**$ 190,248**

[1] *Does not include contractual interest payments*

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize refinancing risk.

As at December 31, 2012, the Company had available undrawn committed credit of $48.4 million (2011: $247.6 million) under the terms of its principal credit facility with Maple Leaf.

Market Risk

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from variable rate borrowings that create cash flow interest rate risk.

At December 31, 2012, the Company had variable rate debt of $1.6 million (2011: $5.5 million) with a weighted average interest rate of 1.5% (2011: 2.2%). In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2012, the amount serviced pursuant to this program was $51.2 million (2011: $45.3 million) at a weighted average interest rate of 2.0% (2011: 2.1%). The maximum amount available to the Company under this program is $60.0 million.

It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

As at December 31, 2012, 96.9% (2011: 96.7%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars and investments in foreign operations.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges.

It is estimated that, all else constant, an adverse hypothetical 10.0% change in the value of the Canadian dollar against all relevant currencies would result in a change in the fair value of the Company's foreign exchange forward contracts of $1.1 million ($0.8 million after-tax) and an offsetting change in other comprehensive income of $1.1 million ($0.8 million after-tax).

Commodity Price Risk

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use fixed price contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

15. OTHER INCOME (EXPENSE)

	2012	2011
Legal settlements	**$ 1,400**	$ –
Gain (loss) on sale of long-lived assets	**478**	(232)
Other	**(243)**	646
	$ 1,635	$ 414

16. INTEREST EXPENSE

	2012	2011
Interest expense on securitized receivables	**$ 993**	$ 978
Deferred finance charge	**233**	227
Interest expense on long-term debt	**84**	133
Other interest charges (income)	**237**	(167)
Interest capitalized	**–**	(119)
	$ 1,547	$ 1,052

17. INCOME TAXES

The components of income tax expense were as follows:

	2012	2011
Current tax expense		
Current year	**$ 28,545**	$ 17,387
Adjustment for prior periods	**58**	(247)
	28,603	17,140
Deferred tax expense		
Origination and reversal of temporary differences	**1,823**	(8,226)
Change in tax rates	**257**	1,931
	2,080	(6,295)
Total income tax expense	**$ 30,683**	$ 10,845

Reconciliation of Effective Tax Rate

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

	2012	2011
Income tax expense according to combined statutory rate of 26.5% (2011: 28.0%)	**$ 27,737**	$ 17,580
Increase (decrease) in income tax resulting from:		
Deferred tax expense relating to changes in tax rates	**257**	1,931
Tax rate differences in other jurisdictions	**(491)**	(1,448)
Manufacturing and processing credit	**(719)**	(570)
Tax adjustments related to prior acquisitions	**–**	(12,436)
Non-deductible expenses	**161**	256
Unrecognized income tax benefit of losses	**3,006**	5,221
Other	**732**	311
	$ 30,683	$ 10,845

Income Tax Recognised in Other Comprehensive Income

	2012	2011
Pension adjustments	**$ (2,296)**	$ (5,031)
Foreign exchange forward contracts	**(217)**	178
	$ (2,513)	$ (4,853)

Deferred Tax Assets and Liabilities

Recognized Deferred Tax Assets and Liabilities

Deferred tax assets and liabilities are attributable to the following:

	As at December 31, 2012	As at December 31, 2011
Deferred tax assets:		
Tax losses carried forward	**$ 22,484**	$ 19,423
Employee benefits	**14,682**	12,870
Accrued liabilities	**2,527**	6,183
Other	**229**	118
	$ 39,922	$ 38,594
Deferred tax liabilities:		
Property and equipment	**$ 21,657**	$ 22,683
Goodwill and other intangible assets	**18,117**	17,019
Other	**2,272**	2,759
	$ 42,046	$ 42,461
Classified in the consolidated financial statements as:		
Deferred tax asset–non-current	**$ 17,874**	$ 17,917
Deferred tax liability–non-current	**(19,998)**	(21,784)
	$ (2,124)	$ (3,867)

Recognized Deferred Tax Assets

The Company has recognized deferred tax assets in the amount of approximately $22.5 million (December 31, 2011: $19.4 million), relating primarily to tax losses carried forward by subsidiaries in the U.K. and Canada. These deferred tax assets are based on the Company's estimate that the relevant subsidiaries will earn sufficient taxable profits to fully utilize these tax losses in the appropriate carry over periods.

Unrecognized Deferred Tax assets

The Company has unrecognized deferred tax assets in the amount of approximately $37.1 million (December 31, 2011: $34.8 million), relating primarily to tax losses carried forward in the U.S. and in Canada. These tax losses carried forward consist primarily of net operating losses ("NOLs") relating to a U.S. subsidiary and capital losses of the Company. The amount of NOLs is approximately $102.1 million (December 31, 2011: $98.6 million). These NOLs expire in the years from 2021 to 2032. The capital loss of the Company is approximately $50.0 million (December 31, 2011: $49.9 million). This capital loss does not expire.

Unrecognized Deferred Tax Liabilities

Deferred tax is not recognized on the unremitted earnings of subsidiaries and other investments as the Company is in a position to control the reversal of the temporary difference and it is probable that such differences will not reverse in the foreseeable future. The unrecognized temporary difference for the Company's subsidiaries at December 31, 2012 is $110.7 million (December 31, 2011: $116.9 million).

18. COMMITMENTS AND CONTINGENCIES

(a) The Company has been named as defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company and its subsidiaries enter into sales commitments with customers, and purchase commitments with suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company, certain assets that have an estimated fair value of $nil million (2011: $3.7 million). The Company believes that these contracts serve to reduce risk, and does not anticipate that losses will be incurred on these contracts.

(c) The Company has entered into a number of construction contracts related to the new Hamilton bakery facility. Contracts commitments at the end of 2012 were $0.4 million.

(d) The Company has operating lease, rent and other commitments that require minimum annual payments as follows:

2013	$ 19,073
2014	14,123
2015	9,736
2016	6,069
2017	3,805
Thereafter	9,813
	$ 62,619

During the year ended December 31, 2012 an amount of $22.3 million was recognized as an expense in earnings in respect of operating leases (2011: $23.6 million).

19. RELATED PARTY TRANSACTIONS

Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf. During the year ended December 31, 2012, the Company signed a new management service agreement, with substantially similar terms and conditions.

Fees paid to Maple Leaf in 2012 for these services were $49.3 million (2011: $47.4 million). At December 31, 2012, the total outstanding balance payable to Maple Leaf was $4.8 million (December 31, 2011: $2.5 million).

The Company has a $50 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. This is described more fully in Note 12.

McCain Capital Corporation ("MCC"), which was a 31.3% shareholder of the Company's parent company until December 2, 2011, owned shares in another Canadian business, McCain Foods Limited. On December 2, 2011, MCC reorganized its shareholdings such that it is no longer a related party of the Company. As a result of this, the Company is no longer a related party with McCain Foods Limited.

Day & Ross Transportation Group, a subsidiary of McCain Foods Limited, was a related party to the Company until December 2, 2011. For the period of 2011 during which Day & Ross Transportation Group was a related party, the Company incurred costs of $2.2 million in respect of transportation services from Day & Ross Transportation Group in the normal course of business at market prices.

The Company sponsors a number of defined benefit and defined contribution plans as described in Note 8. The Company's contributions to these plans were $12.1 million in 2012 (2011: $13.1 million).

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any external directors of the Company. Key management personnel compensation includes amounts paid to Maple Leaf through the management services agreement.

Remuneration of key management of the Company comprises of the following expenses:

	2012	2011
Short-term employee benefits		
Salaries, bonuses, and fees	**$ 5,446**	$ 6,358
Company car allowance	**187**	153
Other benefits	**416**	68
Total short-term employee benefits	**$ 6,049**	$ 6,579
Post-employment benefits	**560**	520
Share based benefits[1]	**6,336**	4,697
Total remuneration	**$ 12,945**	$ 11,796

[1] *The share based benefits were granted by the Company's parent company.*

During 2011 and 2012, key management of the Company did not exercise any share options granted under Maple Leaf Foods Share Incentive Plan.

20. SEGMENTED FINANCIAL INFORMATION

Reportable Segmented Information

The Company has two reportable segments, as described below, which are groupings of the Company's CGUs. These segments offer different products, have separate management structures, and have their own marketing strategies and brands. The Company's management regularly reviews internal reports for these segments. The following describes the operations of each segment:

(a) Fresh Bakery comprises fresh bakery products; sweet goods; specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and speciality bakery products.

(c) Non-allocated assets comprises corporate assets not separately identifiable to business segment groups. These include but are not limited to, corporate property, plant and equipment, investment properties, and tax balances.

	2012	2011
Sales		
Fresh Bakery	**$ 1,059,865**	$ 1,087,335
Frozen Bakery	**507,435**	508,121
	$ 1,567,300	$ 1,595,456
Earnings before restructuring and other related costs and other income		
Fresh Bakery	**$ 91,171**	$ 99,857
Frozen Bakery	**24,697**	9,934
	$ 115,868	$ 109,791
Capital expenditures		
Fresh Bakery	**$ 32,695**	$ 95,788
Frozen Bakery	**11,842**	16,729
	$ 44,537	$ 112,517
Depreciation and amortization		
Fresh Bakery	**$ 30,848**	$ 27,029
Frozen Bakery	**18,677**	20,810
	$ 49,525	$ 47,839

As at December 31,	2012	2011
Total assets		
Fresh Bakery	**$ 504,062**	$ 516,485
Frozen Bakery	**356,311**	368,534
Non-allocated assets	**109,618**	79,456
	$ 969,991	$ 964,475
Goodwill		
Fresh Bakery	**$ 125,892**	$ 125,892
Frozen Bakery	**138,351**	140,121
	$ 264,243	$ 266,013

Information about Geographic Areas

Property, equipment and investment property located outside of Canada was $98.3 million (2011: $105.7 million). Of this amount, $59.1 million (2011: $65.0 million) was located in the U.S. and $39.2 million (2011: $40.7 million) was located in the U.K.

Goodwill attributed to operations located outside of Canada was $84.9 million (2011: $86.7 million), which is all attributed to operations in the U.S.

Revenues earned outside of Canada for the year ended December 31, 2012 were $375.0 million (2011: $385.4 million). Of this amount, $230.4 million (2011: $215.5 million) was earned in the U.S. and $128.8 million (2011: $153.0 million) was earned in the U.K. Revenue by geographic area is determined by the shipping location.

Information about Major Customers

During the year, the Company reported sales to two customers each representing greater than 10% of total sales. Sales to one customer represented 18.3% (2011: 18.5%) of total sales, while sales to the second customer represented 12.1% (2011: 12.3%) of total sales. Sales to each customer are reported in both the Fresh Bakery and Frozen Bakery Segments.

21. SUBSEQUENT EVENTS

On January 30, 2013, the Company announced plans to close a bakery in Grand Falls, New Brunswick on June 28, 2013 and a bakery in Edmonton, Alberta on March 30, 2013. The Company will incur approximately $6.3 million before taxes in restructuring costs, of which approximately $4.2 million are cash costs.